

Monthly Loss Forecasting Methodology

****PURPOSE AND SCOPE****

The method estimates monthly portfolio loss for the fictional Northstar Cooperative. It applies to the managed consumer portfolio and excludes one-off

****DATA INPUTS AND PREPARATION****

| Misplaced summary | Value |

| review note | See prior section |

The analyst loads the Northstar ledger extract and delinquency history, removes duplicate account rows, and records the as-of date before modeling. Se

****METHOD AND CALCULATOR****

The method combines a three-month observed loss rate with a stress multiplier. The Loss Allocation Workbook is an offline Excel calculator owned by th

****CONTROLS AND VALIDATION****

The reviewer checks source row counts, recalculates the variance, and archives the workbook with the monthly evidence packet. A control is named but i

****ASSUMPTIONS AND LIMITATIONS****

The source assumes stable reporting definitions. It does not state how a structural portfolio change limits the result or who approves an override.

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